

OREGON ACCOUNTING MANUAL

Statewide Policy

NUMBER: 45.10.00

SUBJECT: Payroll: Voluntary Deductions

EFFECTIVE DATE: 08/07/2026

POLICY OWNER: Office of the State Controller | Oregon Statewide Payroll Services (OSPS)

DIVISION: Chief Financial Office

LAST REVIEWED DATE: 08/07/2026

SUPERSEDES: Policy # 45.10.00.PO and 45.10.00.PR (2/27/2008)

PAGE NUMBER: Page 1 of 3

REFERENCE/AUTHORITY:

- ORS 292.014-292.026
- ORS 292.045 – 292.070
- ORS 652.610 (3)(b) & (c)
- OAR 166-300-2025

APPROVED BY:

Kate Nass, Chief Financial Officer | Approval on File

Statement

This is the state's policy that describes the circumstances under which modifications will be made in the Workday Payroll System to process voluntary deductions from the pay of state employees.

Applicability

This policy applies to all state agencies that are subject to the Oregon Accounting Manual (OAM), as outlined in [OAM 01.05.00, Introduction: Scope and Applicability](#). If any provisions of OAM policies or procedures conflict with collective bargaining agreements, the provisions of collective bargaining agreements would supersede OAM guidance.

Definitions

Funds recipient refers to any entity receiving funds from an employee's authorized voluntary deduction.

Refer to [OAM 65.00.00, Glossary](#) for definitions.

Policy

Authorization to Create Deduction Codes

101. Under DAS authority to provide centralized payroll services (refer to ORS 292.014 - 292.026) the Workday Oregon Program maintains the standardized deduction-code framework used to process voluntary payroll deductions from employee pay.

Procedure to Establish a Deduction Code

102. The agency proposing or requesting a new deduction code, makes this request by creating a case to OSPS in the Workday Payroll System. The agency must specify if the deduction is to be limited to specific agencies. OSPS will evaluate the request, reach out to the Workday Oregon Program providing their approval and verifying the permissions. Once the Workday Oregon Program has created and tested the new deduction code, OSPS will respond to the agency and verify the date by which the code is planned to be released and available for use. Entities outside of the Workday Oregon Program will need to work with OSPS to make this request.
103. When notified that the deduction code request has been approved, the **funds recipient** may submit the information required to establish Electronic Funds Transfer (EFT) for the deducted funds to OSPS. The following information must be provided either in writing or electronically. Without this information a check will be created and mailed to the funds recipient. Staff from OSPS will contact a funds recipient that is an external entity to obtain the following EFT information:
 - a. Complete business name and address of the **funds recipient**.
 - b. Name and address of the **funds recipient's** bank.
 - c. American Banking Association (ABA) routing/transit number and the account number for the destination of the funds.
104. The Workday Oregon Program will create the deduction code and notify OSPS, who will notify the **funds recipient** and the agency making the request when the code is ready for use.

Implementing Deductions from Employee Pay

105. The employee must supply the employer agency with voluntary deduction authorization to record the employee's permission to activate the deduction. Authorization must indicate the **funds recipient**, the monthly amount, the effective date of the deduction, length of time for which the deduction is authorized (either fixed term or permanent), and a clear statement of authorization from the employee. Refer to ORS 652.610(3)(b) & (c).
106. Employees make a request for voluntary contributions for the Public Employees Retirement System (PERS), the Oregon Savings Growth Plan (OSGP), and insurance through the Public Employees Benefit Board (PEBB) by contacting these organizations directly. The organizations will notify the employees' agency to make the necessary updates in the Workday Payroll System.
107. Upon receipt of authorization, the agency may activate the deduction code in the Workday Payroll System. The agency must retain employee deduction authorizations in accordance with the state records retention schedule.